

READING 93

ETHICS APPLICATION

MODULE 93.1: ETHICS APPLICATION



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available online.

LOS 93.a: Evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct.

LOS 93.b: Explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct.

Standard I: Professionalism

Standard I(A) Knowledge of the Law

Case 1: A member reports to his supervisor that their firm is overcharging clients by seeking to recover the cost of expenses that are actually reimbursable. The actions taken only remedy the situation for some clients but not for others. The member must disassociate from the activity and not work with any clients who are still being overcharged.

Case 2: A member violates the Standard by failing to investigate transactions in an account that appear to be at high risk of violating money-laundering laws (because it was a long-standing client who has relationships with board members).

Case 3: A member violates the Standards (and the law) by forging customer signatures for expediency.

Standard I(B) Independence and Objectivity

Case 1: A member violates the Standard by contributing to a politician's campaign, believing that it may lead to preferential treatment with regard to receiving management contracts for government pension fund money.

Standard I(C) Misrepresentation

Case 1: A member violates the Standard by assuring a client that returns on a fund will outweigh the penalties incurred from shifting funds from an existing investment, essentially guaranteeing a specific rate of return on an investment that has no actual guarantee of returns.

Case 2: A proposal to manage pension assets lists all personnel and their qualifications, but while the proposal is under consideration, one of the key personnel leaves the firm. The member is required to inform the potential client of this personnel change (misrepresentation by omission).

Case 3: A member who is the CEO of an electric car company posts on social media that private financing has been secured to take the company private at \$420 per share when that is untrue and the member admits the price “was a joke.” This is clearly a violation of the Standard regarding misrepresentation.

Standard I(D) Misconduct

Case 1: A member is arrested for minor criminal offenses that are part of civil disobedience related to protesting and expressing her personal beliefs. This is not necessarily a violation of the Standard regarding misconduct, which states in part that members are prohibited from “engaging in any professional conduct involving dishonesty, fraud, or deceit” or committing an act that “reflects adversely on their professional reputation, integrity, or competence.”

Case 2: A member violates the Standard by using his firm’s error-correction policy to effectively give his own money to a client account in order to make his management of the account look better.

Standard I(E) Competence

Case 1: A member violates the Standard by accepting a new role that includes supervisory responsibility but not taking steps to gain competence as a supervisor.

Standard II: Integrity of Capital Markets

Standard II(A) Material Nonpublic Information

Case 1: A member violates the Standard by using material nonpublic information he acquired by overhearing a friend’s phone conversation and inferring that a takeover offer for a specific company was imminent.

Case 2: A member violates the Standard by sharing information with clients about a regulator’s positive response to trials of a company’s new drug that he learned of during a meeting of analysts with company management. The information is considered nonpublic because sharing it with a specific group of analysts was “selective sharing” of the information and cannot be considered public disclosure.

Standard II(B) Market Manipulation

Case 1: A member violates the Standard by fraudulently including the names of people who do not actually own shares to meet the minimum required number of shareholders for a firm to be listed on an exchange, misleading market participants about the potential liquidity of the shares.

Standard III: Duties to Clients

Standard III(A) Loyalty, Prudence, and Care

Case 1: A member violates the Standard by putting a policy into an investment firm's client agreements that indicates that their representatives are excused in some cases from acting in a client's best interest or failing to adequately investigate suitability of recommendations to clients, and that clients' rights to make claims for violating securities laws are restricted. Members and candidates cannot "opt out" of the Standards.

Case 2: A member executes trades for a client who self-directs their own account and has received the firm's policies regarding margin requirements. In this case, the member's requirements to act in the client's best interests are limited, compared with a relationship in which the member is providing investment advice. There is no intent to limit the member's responsibilities to act in good faith and not misrepresent the services to be provided according to firm policies. The terms regarding the firm's actions in the event of a margin shortfall are open to negotiation at the inception of the relationship.

Case 3: A member allocates expenses to a client that arise from actions designed to reduce total expenses (staying over a weekend to reduce transportation costs but increasing lodging costs). This is not a violation, but charging a client for expenses that benefit other clients or that are for personal activities of the member is.

Standard III(B) Fair Dealing

Case 1: A member treats clients fairly by simultaneously sending emails regarding a change in investment recommendation. Providing individual clients with updates or clarifications regarding the change in recommendation is not a violation. Further, the member's firm offers some clients, for an additional fee, weekly updates about securities that may indicate a change in recommendation may be forthcoming. This is not a violation as long as clients are all informed about the availability of the weekly updates for a fee and as long as no change in recommendation is included in a weekly update that would disadvantage clients who do not subscribe to the additional service.

Standard III(C) Suitability

Case 1: A member violates the Standard by recommending investments that carry more risk than is suitable for some clients, even though there are tax advantages to the recommended portfolios.

Case 2: A member violates the Standard by making a client-requested change to their portfolio without investigating the client circumstances adequately to determine whether the requested investment is suitable for the clients.

Standard III(D) Performance Presentation

Case 1: A member violates the Standard by presenting performance data based on a composite of separately managed accounts the firm managed before creating the fund

that is being reported, giving the impression that the fund has been in existence for many years when, in fact, it is relatively new.

Standard III(E) Preservation of Confidentiality

Case 1: Member A downloads clients' personally identifiable information to his personal server at home to make working from home easier and gets hacked. The member has violated the Standard by not taking adequate steps to protect client information. Member B, who is the firm's head of compliance, likely violated the Standard by not taking the proper steps to protect client information, as evidenced by the fact that Member A was able to download sensitive client information to his personal server.

Standard IV: Duties to Employers

Standard IV(A) Loyalty

Case 1: A member violates the Standard by making harmful statements about Firm A, her current employer, and promoting the firm that she intends to move to while she is still employed by Firm A.

Case 2: A member is pressured by his firm to sell the firm's proprietary investment products that are relatively expensive and haven't performed well. He has complained to management, and they have done nothing. He copies client records and he records conversations with his supervisor to document his conduct. He takes this information to securities regulators. His actions are not a violation of the Standard because he is acting in the interest of his clients.

Case 3: A member violates the Standard by taking client information with her when she leaves her firm; the client list is the property of her current firm. Although she only intends to send her clients thank-you notes, the client list she copied has personal information.

Standard IV(B) Additional Compensation Arrangements

Case 1: A member works for a firm that produces issuer-paid research reports and is involved with the decision of which companies her firm will cover. Some companies seeking coverage by the firm offer her a bonus payment if their firm is selected. Because this creates a possible conflict between her interests and her firm's interests, she must get approval in writing from her employer to accept the bonus arrangement.

Standard IV(C) Responsibilities of Supervisors

Case 1: A member with supervisory responsibility over a branch office violates the Standard by not making reasonable efforts to ensure that those under his supervision are not engaging in misconduct. He also violates the Standard by not having clear written compliance policies and procedures in place, along with employee training. If these are not in place, he must decline to take supervisory responsibility.

Case 2: A member violates the Standard by accepting the title of chief compliance officer even though she has no experience in compliance, is denied permission to

contact clients or review client communications, and is not allowed to enforce company policies. She is in violation of the Standard because it requires her to make reasonable efforts to both detect and prevent violations of laws, rules, and regulations by those subject to her supervision. Knowing she could not do this, she should have declined to take on supervisory responsibilities.

Standard V: Investment Analysis, Recommendations, and Actions

Standard V(A) Diligence and Reasonable Basis

Case 1: A member violates the Standard by recommending the purchase of shares of a company for which he has not performed a diligent, thorough, and independent analysis. A second member bases her recommendation on the analysis of the first member and incorporates part of the first member's research report in her own and is thereby also in violation of the Standards.

Standard V(B) Communication With Clients and Prospective Clients

Case 1: A credit rating agency changes its methodology of determining the ratings of commercial mortgage-backed securities without disclosing the change to potential users of the ratings. A member who is responsible for publishing the ratings violates the Standard by publishing ratings without disclosing the change in methodology.

Standard V(C) Record Retention

Case 1: A member violates the Standard by not updating client records in a timely manner. Although he keeps himself updated on changes in client circumstances and adjusts portfolios accordingly, he does not do a good job of keeping written client profiles up to date.

Standard VI: Conflicts of Interest

Standard VI(A) Avoid or Disclose Conflicts

Case 1: A member receives payment from third-party subadvisors that she uses to manage client funds invested in some asset classes. To avoid violating the Standard, she must disclose these arrangements to clients because the payments may influence her choice of subadvisors.

Standard VI(B) Priority of Transactions

Case 1: A member violates the Standard by buying shares and call options in his personal account just prior to purchasing large blocks of the same stocks in client accounts (front-running the trades), in anticipation of an increase in the price of the stocks as a result of the large purchases.

Case 2: A member violates the Standard by telling friends and relatives about large buy orders he is to execute for clients of his employer prior to executing those orders, allowing them to front-run those trades for quick profits.

Case 3: A member enters client trades grouped as block orders and allocates them to specific client accounts after the market closes for the day. The member violates the Standard (and likely the Standard on fair dealing as well) by allocating profitable trades to personal accounts and allocating a disproportionate amount of losing trades to his largest client accounts where they will likely go unnoticed.

Standard VI(C) Referral Fees

Case 1: A member invites existing clients who have referred very profitable accounts to her to lavish parties, rewarding them with discounts on fees and gift cards as well. The member violates the Standard by not disclosing these “referral fees” to all existing clients and prospective clients.

Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate

Standard VII(A) Conduct as Participants in CFA Institute Programs

Case 1: A member who teaches exam-prep classes hosts a post-exam party for candidates who took the exam. He solicits their general impressions about the difficulty of the exam and their opinions on the most difficult exam questions. He is permitted to share their opinions about the difficulty of the exam with future candidates in his exam-prep classes. However, he is not permitted to solicit or share any information about specific exam questions or about which topics were or were not tested on the exam.

Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program

Case 1: A previous member who has not paid her dues to CFA Institute violates the Standard by using the CFA designation in marketing materials and on her business cards. Another member violates the Standard by claiming that all senior employees, which includes the member who has not paid her dues, are CFA charterholders.



MODULE QUIZ 93.1

1. Karen Jones, CFA, is an outside director for Valley Manufacturing. At a director’s meeting, Jones finds out that Valley Corp. has made several contributions to foreign politicians that she suspects were illegal. Jones checks with her firm’s legal counsel and determines that the contributions were indeed illegal. At the next board meeting, Jones urges the board to disclose the contributions. The board, however, votes not to make a disclosure. Jones’s *most appropriate* action would be to:
 - A. protest the board’s actions in writing to the executive officer of Valley.
 - B. resign from the board and seek legal counsel as to her legal disclosure requirements.
 - C. inform her supervisor of her discovery and cease attending meetings until the matter is resolved.
2. Beth Bixby, CFA, uses a quantitative model to actively manage a portfolio of stocks with an objective of earning a greater return than the market. Over the last three years, the returns to a portfolio constructed using the model have been greater than the returns to the S&P Index by between 2% and 4%. In promotional materials, Bixby states, “Through our complex quantitative approach, we select a portfolio that has similar risk to the S&P 500 Index but will receive a return between 2% and 4%”

greater than the index.” This statement is:

- A. permissible because prior returns to the firm’s model provide a reasonable and adequate basis for the promotional material.
 - B. permissible because the statement describes the basic characteristics of the fund’s risk and return objectives.
 - C. not permissible because Bixby is misrepresenting the investment performance her firm can reasonably expect to achieve.
3. Over the past two days, Lorraine Quigley, CFA, manager of a hedge fund, has been purchasing large quantities of Craeger Industrial Products’ common stock while at the same time shorting put options on the same stock. Quigley did not notify her clients of the trades, although they are aware of the fund’s general strategy to generate returns. Which of the following statements is *most likely* correct?
- A. Quigley did not violate the Code and Standards.
 - B. Quigley violated the Code and Standards by manipulating the prices of publicly traded securities.
 - C. Quigley violated the Code and Standards by failing to disclose the transactions to clients before they occurred.
4. Julia Green, CFA, has friends from her previous employer who have suggested that she receive information from them via an internet chat room. In this way, she receives news about an exciting new product being developed by a firm in Singapore that has the potential to double the firm’s revenue. The firm has not revealed any information regarding the product to the public. According to the Code and Standards, this information is:
- A. both material and nonpublic, and Green may not trade on it in Singapore but may trade on it elsewhere.
 - B. both material and nonpublic and Green may not trade on it in any jurisdiction.
 - C. public by virtue of its release in the chat room and Green may trade on it.
5. Melvin Byrne, CFA, manages a portfolio for James Martin, a very wealthy client. Martin’s portfolio is well diversified with a slight tilt toward capital appreciation. Martin requires very little income from the portfolio. Recently, Martin’s brother Cliff has become a client of Byrne. Byrne proceeds to invest Cliff’s portfolio in a similar manner to James’s portfolio based on the fact that both brothers have a similar lifestyle and are only two years apart in age. Which of the following statements is *most accurate*?
- A. Byrne violated the Code and Standards by knowingly creating a conflict between the interests of James’s and Cliff’s portfolios.
 - B. Byrne violated the Code and Standards by failing to determine Cliff’s objectives and constraints prior to investing his portfolio.
 - C. Byrne violated the Code and Standards by failing to have a reasonable and adequate basis for Cliff’s portfolio allocation.
6. Beth Anderson, CFA, is a portfolio manager for several wealthy clients, including Reuben Carlyle. Anderson manages Carlyle’s personal portfolio of stock and bond investments. Carlyle recently told Anderson that he is under investigation by the IRS for tax evasion related to his business, Carlyle Concrete (CC). After learning about the investigation, Anderson proceeds to inform a friend at a local investment bank so that they may withdraw their proposal to take CC public. Which of the following is *most likely* correct?
- A. Anderson violated the Code and Standards by failing to maintain the confidentiality of her client’s information.
 - B. Anderson violated the Code and Standards by failing to detect and report the tax evasion to the proper authorities.

- C. Anderson did not violate the Code and Standards because the information she conveyed pertained to illegal activities on the part of her client.
7. Robert Blair, CFA, director of research, has had an ongoing battle with management about the adequacy of the firm's compliance system. Recently, it has come to Blair's attention that the firm's compliance procedures are inadequate in that they are not being monitored or carefully followed. What should Blair *most appropriately* do?
- A. Resign from the firm unless the compliance system is strengthened and followed.
 - B. Send his superior a memo outlining the problem.
 - C. Decline in writing to continue to accept supervisory responsibility until reasonable compliance procedures are adopted.
8. Eugene Nieder, CFA, has just accepted a new job as a quantitative analyst for Paschal Investments, LLP. Nieder developed a complex model while working for his previous employer and plans to recreate the model for Paschal. Nieder did not make copies of the model or any supporting documents because his employer refused to grant him permission to do so. Nieder will recreate the model from memory. Which of the following statements is *most likely* correct?
- A. Nieder can recreate the model without violating the Code and Standards as long as he also generates supporting documentation.
 - B. Nieder can recreate the model without violating the Code and Standards without documentation if the model is modified from its original form.
 - C. Nieder cannot recreate the model without violating the Code and Standards because it is the property of his former employer.
9. Fred Johnson, CFA, a financial analyst and avid windsurfer, has begun an investment survey of the water sports leisure industry. His brother sells windsurfing gear in Tampa and tells him that Swordfish9 is the "hottest windsurfing rig on the market and will be highly profitable for Swordfish Enterprises." Johnson had never heard of Swordfish9 previously, but after testing the board himself became very excited about the Swordfish9 and issued an investment recommendation of "buy" on Swordfish Enterprises. As a result of issuing the recommendation, Johnson has:
- A. not violated the Code and Standards.
 - B. violated the Code and Standards by failing to establish a reasonable and adequate basis.
 - C. violated the Code and Standards by failing to consider the suitability of the investment for his clients.
10. Neiman Investment Co. receives brokerage business from Pick Asset Management in exchange for referring prospective clients to Pick. Pick advises clients—in writing, at the time the relationship is established—of the nature of its arrangement with Neiman. With regard to this practice, Pick has:
- A. complied with the Code and Standards.
 - B. violated the Code and Standards by failing to preserve the confidentiality of the agreement with Neiman.
 - C. violated the Code and Standards by inappropriately negotiating an agreement that creates a conflict of interest.
11. After sitting for the Level I CFA exam, Jerry Green writes on an online forum, "I feel that CFA Institute misled me by putting so many examples in the curriculum. I expected a lot of dividend discount model calculations, but I only had to do one of them on my exam." Regarding the CFA Institute Standards of Professional Conduct, Green *most likely*:
- A. did not violate the Standards.
 - B. violated the Standards by discussing exam content.
 - C. violated the Standards by impugning the reputation of CFA Institute.

ANSWER KEY FOR MODULE QUIZZES

Module Quiz 93.1

1. **B** According to Standard I(A) Knowledge of the Law, because she has taken steps to stop the illegal activities and the board has ignored her, Jones must dissociate from the board and seek legal advice as to what other actions would be appropriate in this instance. She may need to inform legal or regulatory authorities of the illegal activities. (LOS 93.a, 93.b)
2. **C** There can be no assurance that a premium of 2% to 4% will consistently be obtained. Bixby is in violation of Standard I(C) Misrepresentation, because she has made an implicit guarantee of the fund's expected performance. (LOS 93.a, 93.b)
3. **A** Quigley's trades are most likely an attempt to take advantage of an arbitrage opportunity that exists between Craeger's common stock and its put options. She is not manipulating the prices of securities in an attempt to mislead market participants, which would violate Standard II(B) Market Manipulation. She is pursuing a legitimate investment strategy. Participants in her hedge fund are aware of the fund's investment strategy, and thus, Quigley did not violate the Code and Standards by not disclosing this specific set of trades in advance of trading. (LOS 93.a, 93.b)
4. **B** The release of such information to a limited circle via an internet chat room does not cause the information to be public. The information is also clearly material. Therefore, Green is not allowed to trade on the information under Standard II(A) Material Nonpublic Information. (LOS 93.a, 93.b)
5. **B** Standard III(C) Suitability requires that before taking investment action, members and candidates must make a reasonable inquiry into a client's or prospect's investment objectives and constraints, as well as their prior investment experience. Byrne cannot assume that because the brothers have similar lifestyles and are close in age that they should have similarly managed portfolios. Byrne should have interviewed Cliff directly before investing his portfolio. (LOS 93.a, 93.b)
6. **A** Standard III(E) Preservation of Confidentiality requires Anderson to maintain the confidentiality of client information. Confidentiality may be broken in instances involving illegal activities on the part of the client, but the client's information may only be relayed to proper authorities. Anderson did not have the right to inform the investment bank of her client's investigation. (LOS 93.a, 93.b)
7. **C** According to Standard IV(C) Responsibilities of Supervisors, because he is aware that the firm's compliance procedures are not being monitored and followed and because he has repeatedly tried to get company management to correct the situation, Blair should decline supervisory responsibility until adequate procedures to detect and prevent violations of laws, regulations, and the Code and Standards are adopted and followed. If he does not do so, he will be in violation of the Code and Standards. (LOS 93.a, 93.b)

8. **A** Nieder must not take models or documents from his previous employer without explicit permission to do so, or he would violate Standard IV(A) Loyalty. He is allowed to reproduce the model from memory but must recreate the supporting documentation to maintain compliance with Standard V(C) Record Retention. (LOS 93.a, 93.b)
9. **B** Johnson has apparently let his recreational passion cloud his judgment. This is not to say that Swordfish Enterprises is not or will not be an excellent investment. However, if he had never heard of the firm previously, issuing an investment recommendation without conducting a thorough financial investigation indicates a failure to exercise diligence and also indicates that he lacks a reasonable and adequate basis for his recommendation. He is in violation of Standard V(A) Diligence and Reasonable Basis. (LOS 93.a, 93.b)
10. **A** There is no violation of the Standards regarding this matter. The referral arrangement is fully disclosed to clients before they agree to do business with Pick. Therefore, clients can fully assess the effect of the agreement on the referral and how the agreement may affect their accounts before hiring Pick as their asset manager. (LOS 93.a, 93.b)
11. **B** Standard VII(A) Conduct as Participants in the CFA Programs prohibits candidates from revealing which portions of the Candidate Body of Knowledge were or were not tested on an exam. Members and candidates are free to disagree with the policies, procedures, or positions taken by the CFA Institute and express their opinion on such policies, procedures, and positions. (LOS 93.a, 93.b)

Topic Quiz: Ethical and Professional Standards

You have now finished the Ethical and Professional Standards topic section. Please log into your Schweser online dashboard and take the Topic Quiz on this section. The Topic Quiz provides immediate feedback on how effective your study has been for this material. Questions are more exam-like than typical Module Quiz or QBank questions; a score of less than 70% indicates that your study likely needs improvement. These tests are best taken timed; allow 1.5 minutes per question.